Semtech (SMTC)

AI Data Center Inflection

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*AI Data Center Inflection. Record Q2 FY27 revenue of $341.9M (+33% YoY). Q3 guided to $405-415M vs $360M Street, with data center expected +120% YoY. Data center mix heading to 44% of revenue by end of 2027 [8-K Q2 FY27]. Portfolio Upgrade. Selling the lower-margin cellular module business to Compal for $62M cash to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x [8-K Q2 FY27]. Priced for Perfection. At $136.73 [Mkt 16-Oct-26], the stock trades at 2.1x our $64.94 DCF base. The fundamental momentum is real, but the market has already priced in years of flawless execution. Our framework screens it as a **Hold** with a $66.37 blended target, 51% below the current price.*

HOLD	$66.37	-51%	$136.73
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Portfolio Upgrade. Selling the lower-margin cellular module business to Compal for $62M cash to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x [8-K Q2 FY27].

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$341.9M	$405-415M	$1.02-1.08	$0.71	~30%	1.5x
REVENUE (Q2 FY27)	Q3 FY27 REVENUE GUIDE	Q3 FY27 EPS GUIDE	EPS (Q2 FY27, NON-GAAP)	DATA CENTER MIX (EST.)	NET LEVERAGE

The moat is structural

AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps

Three scenarios make the valuation range explicit

The DCF values Semtech across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$39.53**	-71%
Base	50%	**$64.94**	-53%
Bull	25%	**$96.06**	-30%

Bear ($39.53, -71%): Growth disappoints and multiples compress; the $39.53 target marks the downside case.

Bull ($96.06, -30%): Execution compounds and the multiple rerates; the $96.06 target marks the upside case.

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The probability-blended target implies -51% upside

Blended target: $66.37 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -51% upside from the $136.73 reference price.

$66.37
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 23.3x [Mkt 16-Oct-26] DCF Base $64.94 vs $136.73 spot [Mkt 16-Oct-26] PEG 1.21 [Mkt 16-Oct-26] DCF implies the stock is worth less than half its current price. Absolute valuation is stretched.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $66.37 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps [8-K guid]

LoRa Plus (LR2022/LR2012) in full production expanding IoT reach [8-K Q2 FY27]

Cellular module divestiture ($62M) sharpens focus on high-margin segments [8-K Q2 FY27]

What to monitor

Nov/Dec 2026. Q3 FY27 Earnings: $405-415M guide vs $360M Street. A beat confirms the inflection; a miss would be severe.

H2 2026. CopperEdge/ACC volume ramps with hyperscalers.

2027. Data center mix targeted at 44% of revenue by year-end.

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REVENUE (Q2 FY27)	Q3 FY27 REVENUE GUIDE	Q3 FY27 EPS GUIDE	EPS (Q2 FY27, NON-GAAP)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2026	$1.0B	$542M	$-40M
2025	$909M	$457M	$-162M

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2024	$869M	$296M	$-1.1B
2023	$757M	$479M	$61M

Key risks

Valuation Risk. At 2.1x DCF base, any stumble in the hypergrowth narrative implies 30-50% downside to fair value. [DCF model]

Customer Concentration. Hyperscaler ramps are lumpy; a pushout at any major AI customer hits the quarter. [10-K FY25]

Cyclicality. Analog semis remain cyclical; the current upcycle will eventually normalize. [10-K FY25]

Investment view

A Q3 FY27 miss on the $410M revenue guide would cut Forward Growth and Trend sharply. Sustained 100%+ data center growth into 2027 could justify a higher multiple.

Hold. The $66.37 blended target implies -51% upside, balancing the $39.53 / $64.94 / $96.06 Bear / Base / Bull targets.

LoRa Plus (LR2022/LR2012) in full production expanding IoT reach [8-K Q2 FY27]

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Upcoming catalysts

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